

OBJ 20: McDonald Decl. ¶ 3. **Sustained.**

OBJ 21: McDonald Decl. ¶ 4. **Sustained.**

7. 9:00 AM CASE NUMBER: C24-00106

CASE NAME: YEKATERINA RAMIREZ VS. THE SPEECH PATHOLOGY GROUP, INC.

***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL OF CLASS ACTION SETTLEMENT**

FILED BY: RAMIREZ, YEKATERINA

TENTATIVE RULING:

Summary

On December 22, 2025, Plaintiff Yekaterina Ramirez ("Plaintiff"), filed a motion for preliminary approval of the proposed class action settlement with Defendant The Speech Pathology Group, Inc. ("Defendant"), (Plaintiff and Defendant are collectively hereinafter referred to as "the Parties").

The Court **grants** this Motion for Preliminary Approval of the Class Action Settlement as set forth herein. No appearance is required at the hearing on May 13, 2026.

Background and Settlement Terms

This case is a proposed employee wage and hour class action case. On January 16, 2024, Plaintiff commenced this litigation by filing a class complaint alleging causes of action against Defendant for: 1) Failure to pay wages for all hours worked as minimum wage in violation of Labor Code Sections 1194 and 1197; 2) Failure to pay overtime wages for daily overtime worked in violation of Labor Code Sections 510 and 1194; 3) Failure to authorize or permit meal periods in violation of Labor Code Sections 512 and 226.7; 4) Failure to Authorize or permit rest periods in violation of Labor Code Section 226.7; 5) Failure to provide complete and accurate wage statements in violation of Labor Code Section 226; 6) Failure to timely pay all earned wages and final paychecks due at time of separation of employment in violation of Labor Code Sections 201, 202 and 203; and 7) Unfair business practices in violation of Business and Professions Code Sections 17200, et. Seq. (See Sloane Dec. ¶4.)

According to Plaintiff's Motion, the named Plaintiff worked as hourly-paid, non-exempt employees of Defendant and seek to represent approximately 1501 current and former hourly, non-exempt employee who worked for Defendant in California during the Class Period (hereinafter "Class" or "Class Members"). "Class Period" means the period from January 16, 2020, through the earliest of (i) 60 days from the Mediation Date (July 27, 2025) or (ii) the date the Court enters an order preliminarily approving the settlement proposal.

Pursuant to Labor Code section 2699.3, subd. (a), Plaintiff gave timely written notice to Defendant and the LWDA by sending the PAGA Notice on January 16, 2024. (Sloane Dec. ¶5.) On March 25, 2024, Plaintiff filed a Private Attorneys General Act of 2004 ("PAGA") complaint alleging a cause of action for Civil Penalties pursuant to PAGA, Labor Code Sections 2698, et. seq. (Sloane Dec. ¶6.) On December 9, 2025, Plaintiff filed a First Amended Complaint adding alleged cause of action against Defendant for Civil Penalties Pursuant to The Private Attorneys General Act of 2004 ("PAGA"), Labor Code Sections 2698, et. Seq. (Sloane Dec. ¶7.)

Defendant has at all times denied the claims. Defendant contends that Plaintiff would not likely prevail on their claims. Defendant denies the allegations in the operative complaint, denies any failure to comply with the laws identified in the operative complaint, and denies any and all liability for the causes of action alleged. (Settlement, ¶12.1) Defendant contends that it complied in good faith with wage and hour laws and has dealt legally and fairly with Plaintiff and putative class members. (Sloane Dec. ¶19.)

Plaintiff seek entry of a proposed order granting preliminary approval of the class settlement which: (1) preliminarily approves the proposed settlement of the class action; (2) approves the form and method for providing notice and directs that notice be given to members of the settlement class; (3) preliminarily certifies the settlement class for settlement purpose; and (4) schedules a final approval hearing date.

As consideration for this Settlement, Defendant shall pay a sum equal to One Million Eight Hundred Seventy-Five and Zero Cents (\$1,875,000.00) (the “Gross Settlement Amount”) to fund the non-reversionary, no claims made settlement of this class action. (¶1.24 of the Class Action Settlement Agreement and Class Notice (“Settlement” or “Settlement Agreement”) a copy of which is attached as Exhibit “1” to Declaration of Stephen M. Sloane (“Sloane Dec.”) filed herewith. Gross Settlement Amount is inclusive of Individual Class Payments, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, Class Representative Service Payments, and the Administration Expenses Payment. (Id.)

Analyses

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC, supra*, 69 Cal.App.5th 521.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

Attorney fees

Class Counsel seeks attorneys’ fees and costs award of one-third of the Gross Settlement Amount or

Six Hundred Twenty-Four Thousand Nine Hundred Ninety Nine Dollars and Ninety-Nine Cents (\$624,999.99) and Class Counsel's costs not to exceed Thirty-Five Thousand Dollars and Zero Cents (\$35,000.00), for the time spent litigating this matter as well as expenses incurred in the prosecution of the action thus far. The one-third of the total settlement amount as fees is based on the reliance of the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval.

Similarly, litigation costs and the requested representative payment of \$9,000 the class representative will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

Pursuant to Code of Civil Procedure section 382.4, where a settlement proceed can be paid to a non-party to the action, "an attorney for a party to the action shall, in connection with the hearing for preliminary approval pursuant to subdivision (c) of Rule 3.769 of the California Rules of Court, notify the court if the attorney has a connection to or a relationship with a nonparty recipient of the distribution that could reasonably create the appearance of impropriety as between the selection of the recipient of the money or things of value and interests of the class."

Ruling

The Court finds that the proposed settlement is sufficiently fair, reasonable, and adequate to justify *preliminary* approval. The Court **grants** this Motion for Preliminary Approval of the Class Action Settlement, and will execute the proposed order lodged on December 22, 2025. The Clerk of the Court is requested to schedule hearing date for the motion for final approval.

Other dates in the proposed order shall be adopted. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date, which shall include the matters necessary to comply with Code of Civil Procedure section 384(b). Notwithstanding any contrary provision in the settlement agreement, 5% of the attorney's fees are to be withheld by the administrator until released by the Court after review of the compliance statement. The Court may issue a release through an unreported minute order without a hearing on the compliance statement. No appearance is required at the hearing on May 13, 2026.